

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester III Examination, 2022-23

Paper No. BCH-213: Specialised Accounts-I

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

B obtained on 1st April, 2017 from A, a lease of some coal-bearing land, the terms being a royalty of Rs. 5 a ton of coal raised subject to a minimum rent of Rs. 20,000 per annum with a right of recoupment of shortworking over the first four years of the lease.

B granted a sub-lease of part of the land to C on a royalty of Rs. 7.50 a ton merging into a minimum rent of Rs. 10,000 per annum with a right of recoupment of shortworking during the two years following the shortworking. The output for the first five years is as follows:

Year ended	Output of B (in Tons)	Output of C (in Tons)
31.03.2018	2,200	800
31.03.2019	2,320	1,080
31.03.2020	2,600	1,400
31.03.2021	2,800	1,800
31.03.2022	3,600	2,400

Give the necessary Ledger Accounts and Balance Sheets in the books of B and C to record these transactions, their books being closed on 31st March each year. [14]

OR

How is royalty different from rent? Explain and illustrate the Journal Entries in the books of sub-lessee. Give a specimen of Nazrana Account in the books of landlord. [14]

Question 2.

On 1st April, 2019 Saurabh Transport Company purchases on Installment Payment System one truck for Rs. 10,20,000 payable by three equal annual installments combining principal and interest, the interest being at the rate of 5% p.a. Calculate the amount of cash price by Annuity Method and show the necessary Journal and Ledger Accounts of three years in the books of the Saurabh Transport Company. Depreciation is charged @ 10% p.a. on reducing balance. (The present value of an annuity of one rupee for three years @ 5% is Rs. 2.72325). [14]

OR

Mention the merits and demerits of Hire-Purchase System. How is it different from Credit Purchase System? Give a specimen of Hire-Purchase Trading Account. [14]

Question 3.

On 31st March, 2014 the following Trial Balance was sent by the New Delhi Branch to its Head Office in New York:

Particulars	Debit (Rs.)	Credit (Rs.)
Stock on 01.04.2013	14,400	—
Purchases and Sales	1,62,000	3,00,000
Wages and salaries	12,000	—
Sundry charges	7,500	—
Commission allowed and received	1,500	4,800
Bad debts	1,350	—
Depreciation on furniture	480	—
Debtors and creditors	19,170	13,500
Bills receivable and bills payable	8,100	10,800
Cash in hand	10,800	—
Furniture	7,200	—
Plant (purchased on 01.10.2013)	33,000	—
Machinery	1,05,000	—
New York H.O. Account	—	53,400
Total	3,82,500	3,82,500

Closing stock on 31st March, 2014 was Rs. 1,08,000. The New Delhi Branch A/c and Branch Machinery A/c appeared as \$1,500 and \$3,000 respectively in the H.O. Books.

The rates of exchange were as follows:

- 01.04.2013: Rs. 40 per dollar
- 31.03.2014: Rs. 45 per dollar
- Average rate for the year 2013-14: Rs. 50 per dollar
- 01.10.2013: Rs. 55 per dollar

Convert the above Trial Balance and prepare the Trading and P & L A/c and Balance Sheet of the New Delhi Branch in the New York Books. [14]

OR

Point out the concept and types of Branch. How is Branch Account prepared? Explain and illustrate. [14]

Question 4.

- (a) The Directors of Departmental Stores Ltd. wish to ascertain the estimated net profits of the A, B and C departments separately for four months ended 31st July, 2022. It is found impracticable actually to take stock on that date but an adequate system of departmental accounting is in use and the normal rates of gross profit for the departments concerned are 40%, 30% and 20% on turnover, respectively.

Indirect expenses are charged in proportion to departmental turnover. For the above-mentioned period, total indirect expenses (including those relating to other departments) are Rs. 42,000 on the total turnover of Rs. 8,40,000. The following are the figures for the three departments:

Particulars	Dept. A (Rs.)	Dept. B (Rs.)	Dept. C (Rs.)
Stock on 1st April, 2022	60,000	70,000	30,000
Purchases for the period	70,000	65,000	47,000
Sales for the period	1,20,000	1,00,000	60,000
Direct expenses	20,200	14,500	7,100

Prepare a Statement for the Directors, making a stock reserve of 10% for each department on 31st July, 2022. [10]

(b) State the procedure of Departmental Accounting. [4]

OR

Distinguish between 'Department and Branch' and also between 'Departmental Accounts and Branch Accounts'. State the various bases for allocation of common expenses to various departments. [14]

Question 5.

Mention the concept, advantages and limitations of Human Resource Accounting. What are its models? Briefly explain. [14]

OR

Write lucid notes on any two of the following: [7+7]

- (a) Methods of Human Resource Accounting
- (b) Royalty accounts
- (c) Independent Branch